

Property Ownership Lifecycle: the Homeowner

The property ownership lifecycle consists of three primary stages: acquiring the property; owning the property; and reverting /selling the property. Each stage of the lifecycle has associated income tax-related items that affect the owner.

Tax Aspects Related to Acquisition

Buyers may be able to take advantage of:

- An income tax deduction for points/prepaid interest on a loan
- First-time homebuyers can use IRA funds without paying an early-withdrawal penalty

Note: Closing costs are not deductible on income taxes.

Taxes During Ownership

Homeowners can take advantage of the following income tax deductions when itemizing:

- Property taxes
- Interest payments for
 - Mortgage loans
 - Refinancing the property
 - Home equity loans
- Certain expenses and depreciation for home-based work or business or investment property

Tax Aspects Related to Reversion (Sale)

Property sellers should expect the following impacts on income tax when selling a home or other property:

- When selling a primary residence, the IRS allows a certain amount of profit from the sale to be excluded from capital gains. The rule allows exclusion of \$250,000 for an individual or \$500,000 for a married couple filing jointly.
- For the sale of a property that doesn't qualify as a primary residence, the seller must report any capital gains or losses from the sale on income tax.

Advising Clients Regarding Tax Aspects of a Property Transfer

Licensees should educate buyer and seller clients about these basic tax aspects of transferring property:

- The calculation of property tax owed by both the buyer and seller at closing
- The possibility that a transfer will trigger reassessment of the property and increase taxes
- Review of the title commitment to ensure that there are no tax liens against the property
- The buyer's potential income tax deduction for property taxes and mortgage interest paid
- The seller's potential capital gains tax paid on the financial gain resulting from the property sale

Always encourage clients to consult with a tax professional for specific tax advice.